Navigating Regulatory Frameworks

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Major Regulatory Frameworks

GDPR

EU AI Act

US regulations

Key points:

- No significant fully automated decisions
- Right to explainability

Penalties: up to 4%, or 20 million EUR

EU AI Act

High-risk AI systems:

- Employment
- Credit scoring
- Law enforcement

Transparency for users:

- Interpret output
- Understand capabilities

Detailed documentation:

- Data practices

Penalties: up to 7%, or 35 million EUR

US Regulations

Existing laws

AI Risk Management Framework

States

- California
- Utah
- New York

Preparing for the Future

Explainability is a must-have

Model cards and datasheets are essential

Heavy penalties

Seek legal counseling

When You Must Explain AI Decisions

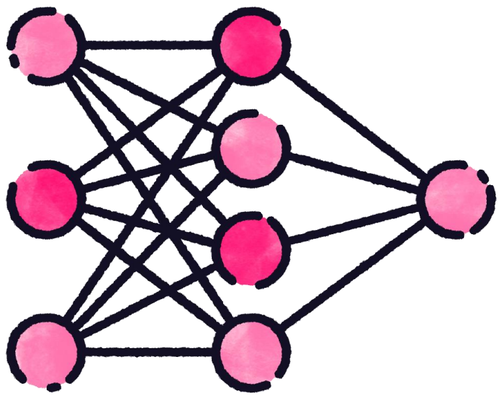
Explainability Triggers

Significant decisions affecting individuals

Sector sensitivity

Automation level

Explainability Practical Challenges



AI systems complexity

Business needs vs regulations

Human oversight

Explainability Requirements

Complexity is no excuse

Overlapping compliance

Risk-based

Need for good explanations

What Are Good Explanations?

Specificity

Accessibility

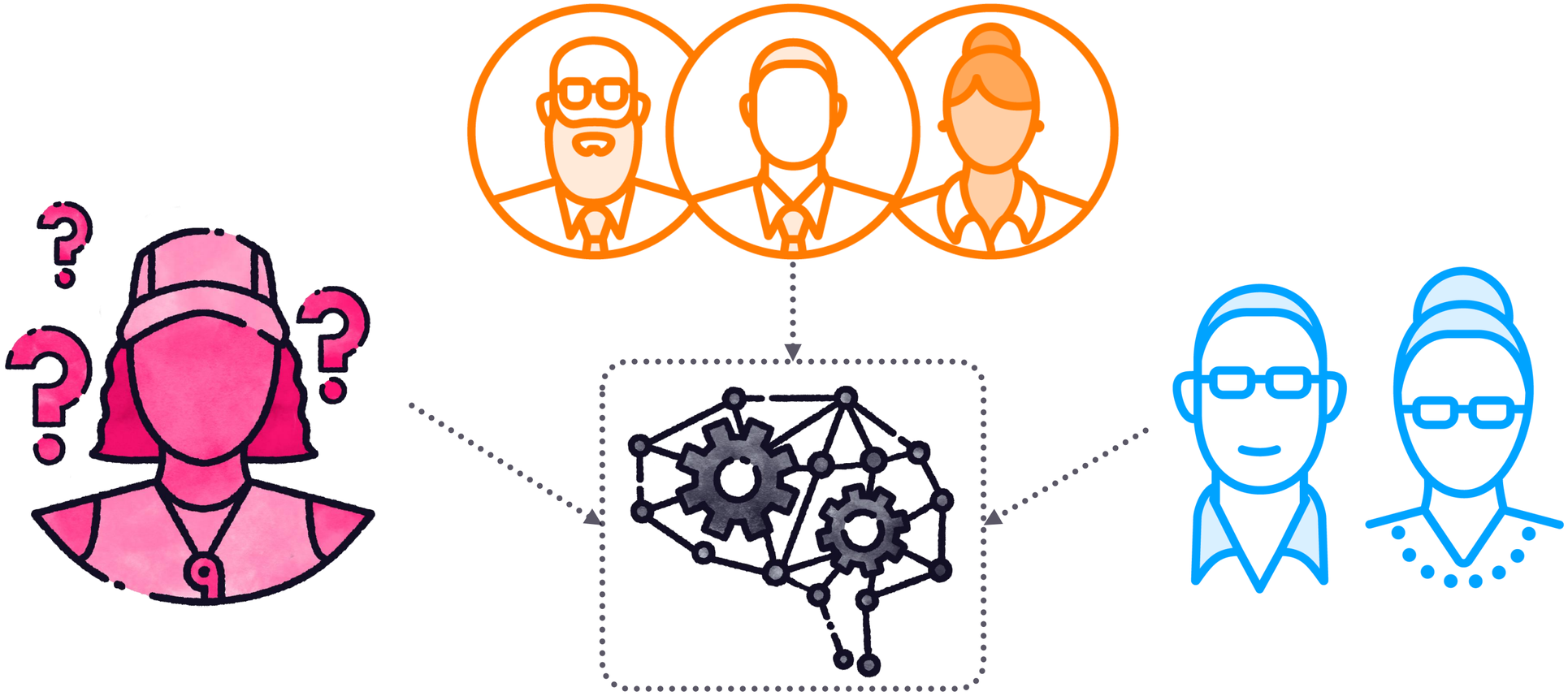
Actionability

Timing

Stakeholder oriented

Understanding Multiple Types of Explainability

Understanding Multiple Types of Explainability



User Explainability

Plain language

Guidance, not technical details

Human contact options

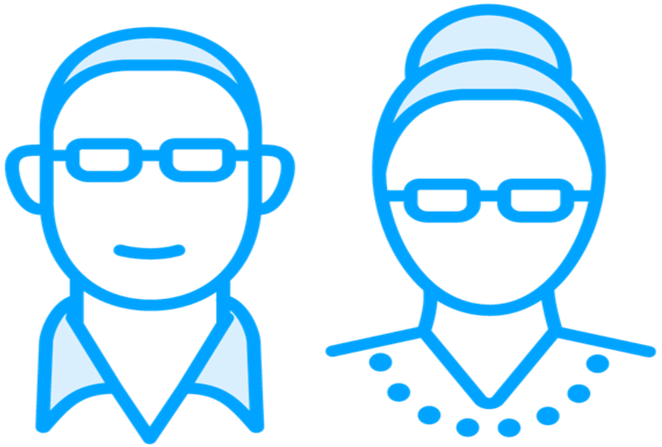
Technical Explainability

Technical details

Continuous improvement

Monitoring dashboards

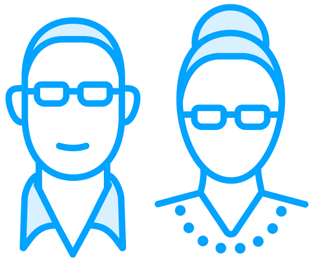
Compliance Explainability



Following regulations

Audit trails

Detailed documentation



Goal:	Understanding	Debugging	Evidence
Language:	Plain	Technical	Legal
Timing:	Immediate	Ongoing	Audit trails